

Quarterly Finance Report

Q2 FY2026 — Performance, Risk & Outlook



Executive Summary

Revenue grew **12.4%** quarter-over-quarter while operating margin expanded to **18.2%**. Headwinds remain in *foreign exchange* and supply logistics. This section expands on the topic with a moderate amount of detail, weaving together context, rationale, and practical implications so that a parser encounters realistic prose of varying length.

Key Metric: Free cash flow reached **\$42.7M**, up from \$31.2M in the prior quarter.

1. Revenue Breakdown

By Segment

Segment	Revenue	QoQ	Margin
Cloud	\$88.1M	+15%	24%
Hardware	\$54.3M	+6%	11%
Services	\$37.9M	+18%	20%
Total	\$180.3M	+12.4%	18.2%

Regional Performance

Region	Revenue	Growth
Americas	\$92.4M	+10%
EMEA	\$51.7M	+14%
APAC	\$36.2M	+19%

2. Cost Structure

The following paragraph is deliberately long. It stretches across several clauses and sentences, mixing subordinate structures, enumerations, and asides, so that downstream text-extraction and chunking behavior can be observed on a substantial block of running text. It continues past the point of a single line, wrapping naturally and giving the layout engine a meaningful column of words to flow. Longer paragraphs like this one help surface differences between loaders that split on paragraphs versus fixed token windows, and they exercise justification and leading in the rendered output as well.

Operating Expenses

- **R&D:** \$28.4M — disciplined but rising
- **Sales & Marketing:** \$22.1M
- **G&A:** \$11.6M

Priorities Next Quarter

- 1 Contain cloud infrastructure unit costs
- 2 Renegotiate logistics contracts
- 3 Improve services attach rate

■ **Risk:** Currency volatility could reduce reported EMEA growth by up to 3 points.

3. Balance Sheet Highlights

Item	Q2	Q1	Δ
Cash & equivalents	\$210M	\$185M	+\$25M
Total debt	\$95M	\$102M	-\$7M
Equity	\$540M	\$505M	+\$35M

Analyst Commentary

“The balance between growth and margin discipline this quarter was notably well managed.” — Internal Finance Committee

4. Outlook

This section expands on the topic with a moderate amount of detail, weaving together context, rationale, and practical implications so that a parser encounters realistic prose of varying length. Concise notes follow.

Guidance: Full-year revenue is expected between **\$720M** and **\$745M**.

5. Appendix — Assumptions

Modeling Notes

The following paragraph is deliberately long. It stretches across several clauses and sentences, mixing subordinate structures, enumerations, and asides, so that downstream text-extraction and chunking behavior can be observed on a substantial block of running text. It continues past the point of a single line, wrapping naturally and giving the layout engine a meaningful column of words to flow. Longer paragraphs like this one help surface differences between loaders that split on paragraphs versus fixed token windows, and they exercise justification and leading in the rendered output as well.

Assumption	Base	Bull	Bear
FX rate (EUR)	1.08	1.12	1.02
Cloud growth	15%	20%	9%
Churn	4%	3%	7%

Sensitivity

- A 1% FX move shifts EPS by ~\$0.02
- Cloud margin is the largest swing factor

This section expands on the topic with a moderate amount of detail, weaving together context, rationale, and practical implications so that a parser encounters realistic prose of varying length.